

ACCESSING YOUR PENSION OR SOCIAL SECURITY (SS)

Different countries have different rules about when, and how, to access pensions or IRAs. In the US, SS can be accessed at 62, and access to an IRA begins at 59½. There are three main options:

- **Option 1** Take 100% (also called a lump-sum payout) of the pension as cash to spend or invest. With a lump-sum payment, the employer is required to hold back 20% of the payment for federal income taxes.
- **Option 2** Buy an annuity. This is an insurance product that provides a fixed amount of cash every year for life. An annuity means the money won't run out, but the rate of income will be lower.
- **Option 3** Use income drawdown. This means withdrawing invested money as and when it is needed. There is the risk of running out of cash if the fund performs badly.

"You can be young without money, but you can't be old without it."

Tennessee Williams, US playwright

